IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA) No. 19/BB/2018
Under Section 230 to 232 of the Companies Act, 2013

Coram: Hon'ble Shri Rajeshwara Rao Vittanala, Member (Judicial)

IN THE MATTER OF SCHEME OF AMALGAMATION
BETWEEN
DEMANDSENSING SOFTWARE PRIVATE LIMITED
(FIRST TRANSFEROR COMPANY)
AND
ORCHESTRO INDIA PRIVATE LIMITED
(SECOND TRANSFEROR COMPANY)
AND
E2OPEN SOFTWARE INDIA PRIVATE LIMITD
(TRANSFEREE COMPANY)
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

M/s. Orchestro India Private Limited,
Prestige Emerald,
Municipal Door No.4/1-1, Madras Bank Road,
Corporation Division 61,
Bangalore,
Karnataka -560001.
Represented by its Director
Shri Hitesh Trivedi **.. Applicant / Transferor Company No.2**

With

E2Open Software India Private Limited,
Prestige Emerald,
Municipal Door No.4/1-1, Madras Bank Road,
Corporation Division 61,
Bangalore,
Karnataka-560 001. **-** **Transferee Company**

Order dated: 9th May, 2018

Per: **Rajeshwara Rao Vittanala, Member (Judicial)**

For the Applicant : Mr. Nygil Kuriakose, PCS.

ORDER

1. The Company Application bearing No.CA(CAA) No.19/BB/2018, is filed under Section 230-232 and other applicable provisions of the Companies Act, 2013 along with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016, by inter-alia, seeking to:

(i) dispense with the requirement of convening of the Equity Shareholders 2nd Transferor Company and also to dispense with the requirement of issue and publication of notices for the same;

(ii) dispense with the requirement for convening the meeting of the Secured and Unsecured Creditors and members of any class thereof of the 2nd Transferor Company including the requirement of issue and publication of notices for the same;

(iii) issue direction for permitting the filing of application, petition and other documents as may be required, for the purpose of sanctioning the proposed Scheme of Amalgamation between the 2nd Transferor Company and their respective Shareholders and Creditors.

2. The brief facts as mentioned in the application are as follows:

(a) The Second Transferor Company is a Private Limited Company incorporated on 31.07.2014 under the Companies Act, 2013, in the State of Karnataka, vide its Corporate Identity Number U72200KA2015FTC111137 having its registered office at Prestige Emerald Municipal Door No.4/1-1, Madras Bank Road, Corporation. Division 61 Bangalore, Karnataka 560001, India. Further, the Permanent Account Number (PAN) of Second Transferor Company is AACCO1503F. Represented by **Shri. Hitesh Trivedi.**

(b) The Authorised Share Capital of the Second Transferor Company as on 31st March 2017 is Rs. 2,00,000/- (Rupees two Lakh only) divided in to 10,000 (Ten Thousand) Equity shares of Rs.20/- (Rupees Twenty only) each. The total paid up share capital as on 31st March, 2017 is Rs. 2,00,000/- (Rupees two Lakh only) divided in to 10,000 (Ten Thousand) Equity shares of Rs.20/- (Rupees Twenty only) each. The list of shareholders of the Second Transferor Company is as on 31/03/2017 and who are continuing to be shareholders as on date of this application, produced and marked as "**Annexure A**".

(c) The Shareholders of the Second Transferor company is concerned, it is necessary that meeting of shareholders of the First transferor company be dispensed with since the consent of all existing shareholders has been received and the same are collectively produced and marked as "**Annexure A1**".

3. The main objects of the Second Transferor Company are set out in its Memorandum of Association and inter alia, as follows:

i) To carry on the business of software development in the bid data analytics space, Design, development, enhance and deploy software for demand analytics to the consumer packaged goods industry. Provided technology and professional services to the customers to better manage retain execution and reduce lost sales opportunity. Provide managed services and technical support in enhanced use of the software and its capabilities.

ii) To undertake the designing and development of application software either for its own use or for sale in India or for export outside India and to design and develop such systems and application software for or on behalf of clients in the consumer packaged goods industry, users of big data for the purpose of insights and demand analytics in India or elsewhere in the world. (Copy of the Certificate of Incorporation (COI) and Memorandum and Articles of Association (MOA and AOA) of the First Transferor Company is annexed hereto and marked as **"Annexure -B").**

4. The accounts of the Second Transferor Company have been audited as on 31st March, 2017. A copy of the said audited Balance Sheet, the related Profit and Loss Account and the Auditor's Report thereon are produced and marked as "**Annexure C**" and Provisional financials from 1st of April, 2017 till 15th March, 2018 (01/04/2017 till 15/03/2018) is produced and marked as "**Annexure C1**" and audited Balance Sheet, the related Profit and Loss Account and the Auditor's Report thereon from 1st of April, 2016 till 30th November, 2016 (01/04/2016 till 30/11/2016) is produced and marked as "**Annexure C2".** As is clear from the said Auditor's Report, the First Transferor Company has maintained proper Books of Account as required by law.

i) The Second Transferor Company had neither issued nor agreed to issue any debentures.

ii) That the Second Transferor Company has the following liabilities as on provisional financials date 15th March, 2018 :-

Particulars	Amount in Rupees.
Long term and short-term borrowings	
Secured and Unsecured	NIL
Current Liabilities	
Statutory Dues payables	221
Employee benefit payable (Other Payables for Transferred employees)	24,57,381
Trade payables	37,37,794
Short term provisions	40,500
Total	**62,35,896**

5. Subsequent to the date of the aforesaid audited accounts, there has been no other substantial change in the financial position of the Second Transferor Company excepting those arising or resulting from the usual course of business.

6. The brief description of the respective Transferee Company with details of their registered office, share capital / structure, date of incorporation and the main objects of the Company. M/s. **E2OPEN SOFTWARE INDIA PRIVATE LIMITED** was originally incorporated under the name and style of Serus Software Development India Private Limited on 06/11/2013 in the state of Karnataka. Later on the Company got its name changed to "E2open Software India Private Limited" with effect from 08/04/2015 and obtained fresh Certificate of Incorporation from the Registrar of Companies, Bangalore on 08/04/2015. The registration number of the company is 071699 and the Corporate Identity Number (CIN) presently is U72200KA2013FTC071699 and the registered office of the company is situated at Prestige Emerald Municipal Door No.4/1-1, Madras Bank Road, Corporation. Division 61 Bangalore, Karnataka 560001, India.

7. The Authorised Share Capital of the Company as on 31st March 2017 is Rs. 500,000/- (Rupees Five Lakh only) divided in to 5,00,000 (Five Lakh) Equity shares of Re.1/- (Rupee One only) each. The total paid up share capital as on 31st March, 2017 is Rs. 1,00,000/- (Rupees One Lakh only) divided in to 100,000 (One Lakh) Equity shares of Re.1/- (Rupee One only) each.

8. The Transferee Company is a Private Limited Company and the shareholding pattern as on 31st March, 2017 is produced and marked as **Annexure D.**

9. The object of this application is to ultimately obtain sanction of this Tribunal to a Scheme of Amalgamation of Orchestro India Private Limited (Second Transferor Company/Petitioner) with E2Open Software India Private Limited (hereinafter referred to as the Transferee Company) whereby the business, assets, properties, rights, IP rights, patents, privileges and debts, liabilities, duties and obligations, as the case may be of the First Transferor Company and all the properties, rights and claims whatsoever together with all rights and obligations relating thereto is to be transferred to and vested in the Transferee Company on the terms and conditions fully stated in the said Scheme of Amalgamation. A copy whereof is produced and marked as **"Annexure E"**. Upon the Scheme of Amalgamation being approved, the authorized Capital of the First Transferor Company may be merged with the Capital of the Transferee Company.

10. The Board of Directors of the Second Transferor Company at its meeting held on 14th March, 2018 passed unanimously a resolution approved the said Scheme of Amalgamation. The Directors of the first Transferor Company are considered interested in the said Scheme of Amalgamation as they are only the directors of the Transferee Company. The aggregate assets of the Second Transferor Company and the Transferee Company are more than sufficient to meet all their liabilities and the said Scheme will not adversely affect the rights of any of the creditors of the Second Transferor Company or the Transferee Company in any manner whatsoever and due provisions have been made for payment of all liabilities as and when the same fall due in usual course. As per the provisional financials prepared as on

15th March, 2018, the Company has no Creditors as on that date. The certificate confirming no creditors from the Director of the First Transferor Company is produced as Annexure-G. Hence, the meeting of Secured/unsecured Creditors of the First Transferor Company be dispensed with.

It is also stated that there are no proceedings relating to the investigations pending under Section 210 to 227 of Companies Act, 2013, against the First Transferor Company and no petition under Section 241 or 242 of the Companies Act, 2013, has been filed against the First Transferor Company and there is no material change in the affairs of the First Transferor Company, except for what was done in the normal course of business. The proposed Scheme of Amalgamation is not within the purview of the Monopolies and Restrictive Trade Practices Act, 1969 and/or Competition Act, 2002.

11. The Share Exchange Ratio for the amalgamation will be as under:

The shareholder of the Second Transfer Company shall get 6.2389 (Six point two three eight nine) equity share of Re.1/- (rupee one) in the Transferee Company in lieu of every 1 (one) equity share of Rs.20/- (Rupees twenty) each fully paid. In all, the shareholders of the First Transferor Company shall get 62,389 equity shares of Re.1/- (Rupee one) each of Transferee Company. Therefore, the present applicant/petitioner has sought the relief as mentioned to above.

12. Heard Shri Nygil Kuriokose, the learned PCS for the Applicant. Have perused all the documents filed in support of the application.

13. The learned counsel for the petitioner, while reiterating the averments made in the application along with the documents has further submitted that there are only two shareholders and their shareholding pattern of the First Transferor Company as on 31st March, 2018 is as follows:

Sl. No.	Name and address of the Shareholder	No. of shares (face value at Rs.10/- each)	% (Percentage of total shares of the Company
1.	M/s. Orchestro Inc., 9600 Great Hills Trail, Suite 300E, Austin, TX 78759 United States of America.	9.999	9.99
2.	Hitesh Trivedi, (Beneficial interest held by Orchestro Inc.) F 301, Springfield Apartments, Sarjapur Road, Bangalre, Karnataka, India 560 102.	1	0.01
	Total	10,000	100

14. A certificate dated 27th March, 2018, issued by M/s. Shobha & Co., Chartered Accountants, on verification of records and registers, confirming the shareholding pattern of the Second Transferor Company. The said certificate is placed on record. They have also placed an affidavit dated 27th March, 2018, by Shri Hitesh Trivedi, the 1 (one) percent Equity Shareholder of the Second Transferor Company, by inter-alia giving unconditional consent and No Objection to the proposed Scheme of Amalgamation. Similarly, M/s. Orchestro Inc, LLC, USA, the 99.99% Equity Shareholder of the Second Transferor Company, has also given an unconditional consent and No Objection to the proposed Scheme of Amalgamation of the Second Transferor Company with the Transferee Company. Therefore, the learned counsel submits that the Tribunal may consider to pass an order dispensing with the convening of the meeting of shareholders of the Second Transferor Company and also for dispensing with the publication in the newspapers.

15. The documents filed along with the Company application shows that the company has disclosed all the material facts relating to the company such as the latest financial statements of the company and the latest balance sheet, etc. and also declared that there are no investigations or proceedings against the company and appropriate meeting was also conducted wherein an unanimous decision was taken to approve the scheme of amalgamation subject to final approval by this Tribunal.

16. As state by the learned counsel for the applicant, there are only two shareholders, viz. Shri Hitesh Trivedi and M/s. Orchestro LLC, USA, and both the parties have no objection for the proposed scheme of amalgamation. Therefore, there will be no purpose served by ordering to convene the meeting of the shareholders of the company as the company application deserves to be disposed of by dispensing with the convening of the meeting of the Shareholders of the Second Transferor Company.

17. In the result, by exercising powers under Sections 230-232 of the Companies Act, 2013, the Company Application bearing CA(CAA) No. 19/BB/2018 is disposed of with the following directions:

1) Hereby dispensed with the convening of the meeting of the Equity Shareholders of the Second Transferor Company and also dispensed with requirement of issue and publication of notices for the same;
2) Hereby dispensed with the convening the meeting of the Secured and Unsecured Creditors and members of any class thereof of the Second Transferor Company and also dispensed with the requirement of issue and publication of notices for the same; and granted liberty to file a petition for sanctioning of the Scheme in accordance with law.
3) This order, would not preclude any party, who is aggrieved by the order, to approach the Tribunal to file an Interim Application seeking appropriate directions

(RAJESHWARA RAO VITTANALA)
MEMBER (JUDICIAL)

psp.